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CINE 240

31 January, 2025

Prime Video: The Chameleon of the SVOD Market

Almost two decades after its initial release, Amazon's Prime Video streaming service has taken the SVOD market by storm and outperformed numerous forms of legacy media. Amazon, an online book retailer turned global marketplace, executing such a feat begs the question: where does this success come from? Now known as Prime Video, the service was originally launched in 2006 as Amazon Unbox, then globally released in 2016 as Amazon Video (Boas, 2018). Through a subscription model, Prime Video provides access to an extensive content library of acquired films and television, original content, live sports coverage, and additional subscriptions to other channels such as STARZ and HBO Max (MPA Canada). As of 2025, Prime Video holds 22% of the SVOD market share, narrowly overtaking Netflix's 21% (Statista). I argue that it is through utilizing its positionality as a major media conglomerate, leveraging the production and sale of intellectual property (IP), and focusing on media convergence in response to an ever-changing market that Prime Video has overtaken other streamers and built a lasting user base. Originally wearing a veil of interest in auteurship and operating as a "loss leader" (Meir 286), Amazon curated an expansive audience of media lovers before covertly returning to a series of investor-pleasing practices to ensure financial success at the possible expense of creative advancement.

As one of the largest conglomerates in the world, Amazon's newfound success as a media giant is intrinsically rooted in its preexistence as a multi-trillion-dollar enterprise and

global marketplace. This is a major distinguishing factor from standalone businesses like Netflix. A key to Amazon's business strategy is "horizontal integration" —acquiring companies like Twitch, Audible, and, most importantly, MGM Studios (Pereira, 2024). This strategy expands their content library, production capabilities, and industry breadth. By pairing this with their existing services, Amazon Marketplace and Amazon Music, we can begin to understand the ecosystem that backbones the Prime Video business model. While the Amazon Prime Membership provides Amazon Marketplace users free international shipping, it also includes access to Amazon Music and Prime Video, all under one subscription price. This technique of "service bundling" drives sales by offering multiple purchase incentives and increases engagement across each service to emphasize Amazon as an independent media network (Light, 2022). In addition to the subscription model, Prime Video generates revenue through PPV/TVOD, advertising (AVOD), and licensing original content (Shivashish, 2022). Once a loss leader, Prime Video managed to piggyback on Amazon's ecosystem, transforming into an established SVOD that can pivot to other revenue drivers.

Prime Video's creation, acquisition, and distribution of intellectual property are a driving force of revenue and a major point of attraction for subscribers. By producing exclusive content through Amazon MGM Studios, such as *The Boys*, *Bosch*, and *Jack Ryan*, Prime Video gained notoriety as unique from other SVODs. In its earlier days, Prime Video frequently invested in high-risk "passion projects" like Spike Lee's *Chi-Raq* (2015) and Todd Haynes' *Wonderstruck* (2017), which gave the impression of commitment to artistic advancement (Meir, 282). However, this is followed by a more palpable shift to prioritize profit over art. In 2017, Amazon ventured into sports streaming, acquiring non-exclusive streaming rights for certain NHL, MLB, and NFL games (Amazon). Then, Amazon's acquisition of MGM Studios in 2021 entailed

access to thousands of blockbuster films and iconic franchises like *James Bond* and *The Lord of the Rings*, which came with built-in fanbases and nearly unlimited potential for commercial expansion. Further highlighting this strategy shift, Ampere notes that Amazon was the only streamer (of the big six) to spend more on acquired content than originals in 2024 (qtd. in Pennington). Therefore, when comparing Prime Video's original endeavours to their recent focus on high-budget, easily marketable content, their prioritization of financial gain becomes clear, raising concerns regarding the platform's treatment of independent storytelling. Ultimately, Prime Video's careful curation and exploitation of intellectual property contribute immensely to the service's prominence, but a changing content strategy signals the entity's willingness to sacrifice creativity to garner broader market appeal.

Moving forward, Prime Video's adaptation to evolving market trends through "media convergence" arises as an instrumental means of maintaining its competitive edge. One significant aspect of the conglomerate's new strategy is to move away from original content and focus efforts on live sports streaming (Reuters). This year, Prime Video gained streaming rights to the NBA, adding to their extensive list of sports partnerships, and further setting them apart from other streaming giants (Weprin, 2024). The appeal of live sports streaming lies in the mass viewer count per game, the attraction of new audiences, and the resulting potential for advertisement. The introduction of ad-supported models is another critical adaptation by Amazon, spreading throughout the streaming industry. In 2024, Prime Video began placing ads on all Prime Video content, becoming "the largest ad-supported subscription streaming service in the world" (Weprin, 2024). This year, Amazon plans to increase ad loads, even introducing new shoppable ad formats to further boost revenue. While this move aligns with broader industry trends toward ad-supported services, it poses a great risk for customer dissatisfaction towards the

initially “ad-free” experience initially purchased. These decisions emphasize Amazon’s focus on maximizing profit at the possible expense of user satisfaction. The abridgment of multiple forms of content and an expansion into new territories demonstrate Amazon’s ability to leverage media convergence to successfully grow its capital. Reverting to the methods of old television, Amazon seemingly inches toward a new goal: the development of a global television network.

In conclusion, Prime Video’s success is the result of employing its trillion-dollar conglomeration, exploiting and shifting its forms of intellectual property, and embracing different media forms to create an entirely new streaming landscape. However, I think Amazon’s shifts exemplify one of the greatest concerns in the media industry: the prioritization of profitability and the subsequent death of independent art. I fear that with a growing reliance on ad-support, high-budget franchises, and sports streaming, we are descending rapidly toward the commodification of entertainment, spelling danger for the future of diverse storytelling. While the development of new media ecosystems also creates potential for meaningful investment and global reach, the negative implications of such concentration are undeniable. Streaming services like Netflix and Prime Video, which once seemed symbols of progression able to create content without the typical constraints of cable television and studio systems, are now beginning to regress to the very thing they sought to replace. In the end, while Prime Video’s successes have transformed the world of SVODs, their chameleon-like approach raises important conversations about the pursuit of profit and its implications for artistic expression in the future media landscape.

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